

**State of Ohio****State Employment Relations Board**

|                                      |   |                                    |
|--------------------------------------|---|------------------------------------|
| <b>In the Matter of Fact Finding</b> | : | SERB Case Number: 2019-MED-07-0620 |
|                                      | : |                                    |
| Between:                             | : |                                    |
|                                      | : |                                    |
| City of Monroe, Ohio                 | : |                                    |
|                                      | : | Date of Hearing: January 16, 2020  |
| Employer                             | : | Date of Report: February 21, 2020  |
|                                      | : |                                    |
| And:                                 | : |                                    |
|                                      | : |                                    |
| Monroe Firefighters IAFF, Local      | : | Felicia Bernardini, Fact Finder    |
| 3824                                 | : |                                    |
| Union                                | : |                                    |

**Fact Finder Report and Recommendation****Appearances:****For City of Monroe, Ohio, Employer**

Donald L. Crain, Esq., Frost Brown Todd LLC, Fact Finding Spokesperson

Alexander L. Ewing, Esq., Frost Brown Todd LLC, Second Chair

William J. Brock, City Manager

Kacey Waggaman, Assistant City Manager

Karen Ervin, Finance Director

John Centers, Fire Chief

David Levering, Assistant Fire Chief

**For Monroe Firefighters IAFF, Local 3824, Union**

Jessup Gage Esq., Lazarus & Lewis LLC, Fact Finding Spokesperson

Wesley Brown, Esq., Lazarus & Lewis LLC, Second Chair

Zach Bernard, President, Local 3824

Jason Eaves, Vice President, Local 3824

Rusty Rickard, Sergeant at Arms, Local 3824

Chris Conte, Representative, Local 3824

Paul Peters, Representative, Local 3824

## **Introduction**

### Case Background

Felicia Bernardini was selected by the parties to serve as Fact Finder in the above referenced case and duly appointed by the State Employment Relations Board (SERB) on November 1, 2019 in compliance with Ohio Revised Code (ORC) Section 4117.14C(3). The case concerns a fact finding proceeding between the City of Monroe, Ohio (hereafter referred to as the “Employer” or the “City”) and the Monroe Firefighters IAFF, Local 3824 (hereafter referred to as the “Union” or “Unit”).

Prior to the hearing, the parties engaged in contract negotiations on multiple dates in September and October 2019. The parties also worked with a SERB mediator; however, no final settlement was forthcoming, and an impasse was declared. At fact finding, five articles remained open with unsettled proposals. The hearing was scheduled for January 16, 2020. Both parties timely filed the required pre-hearing statements. Upon review of the pre-hearing statements it was apparent that both parties had changed their remaining proposals from where they had positioned themselves in bargaining and mediation. Based on the new positions of the parties, a brief period of mediation was entered into with the Fact Finder. A full settlement was not reached in mediation, although the Employer agreed to withdraw its proposal regarding health insurance premiums and its proposal to eliminate holiday flex time. The parties proceeded to hearing with the following four open contract articles.

Article 23: Holidays

Article 24: Vacation

Article 25: Sick Leave

Article 32: Wages

### General Background Information

The City of Monroe is in the Southwestern quadrant of Ohio, approximately halfway between Cincinnati and Dayton. Monroe benefits from its proximity to Interstate 75 and the

corridor of commercial development along the Interstate between these two major metropolitan areas. Monroe's estimated population in 2017 was 13,683, with an estimated median household income of approximately \$75,000.<sup>1</sup> Monroe is the fastest growing City in Butler County, Ohio.<sup>2</sup> Monroe's growth has increased the City's assessed valuation and its income tax revenue.<sup>3</sup> The bargaining unit consists of all fulltime Firefighters and Lieutenants in the Fire Department. There are 40 unit members. The Unit is represented by the International Association of Fire Fighters, Local 3824. The Unit provides fire suppression and emergency medical services, as well as a variety of fire prevention and first aid programs for the City of Monroe. The Department responded to a total of 3264 calls for service in 2018 – 1203 for fires and 2125 for EMS services.<sup>4</sup>

## **Positions, Discussion and Recommendation**

At the hearing the parties addressed the issue of wages first, including a general cost of living adjustment (COLA), and Union proposed wage increases addressing perceived pay disparities unique to the local labor market for Firefighters. The open leave benefit articles – Holidays, Vacation and Sick Leave – were addressed in numeric order after the discussion of wages. This report follows that general order. A brief summary of the Employer's positions on all open articles is followed by a brief summary of the Union's positions on all open articles. Those position statements are followed by the Fact Finder's discussion of the open issues and a package recommendation with related contract language.

In analyzing the positions of the parties and making recommendations the Fact Finder is guided by available, relevant evidence and the criteria set forth in ORC 4117.14(G)(7)(a) to (f):

- (a). Past collective bargaining agreements, if any between the parties;
- (b). Comparison of the unresolved issues relative to the employees in the bargaining unit with those issues related to other public and private employees doing comparable work, giving consideration to factors peculiar to the area and classification involved;
- (c). The interests and welfare of the public, the ability of the public employer to finance and administer the issues proposed, and the effect of the adjustments on the normal standard of public service;

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<sup>1</sup> City-data.com/Monroe-Ohio

<sup>2</sup> Employer Pre-Hearing Statement

<sup>3</sup> Ibid

<sup>4</sup> Ibid

- (d). The lawful authority of the public employer;
- (e). Any stipulations of the parties;
- (f). Such other factors, not confined to those listed above, which are normally or traditionally taken into consideration in the determination of the issues submitted to mutually agreed-upon dispute settlement procedures in the public service or in private employment.

### ***Employer Proposals and Positions***

#### **1. Article 32: Wages**

The Employer proposes 2% wage increases in each year of the three-year successor agreement. Like every public jurisdiction, the City of Monroe has its budgetary limits and financial concerns; however, the City also recognizes that the current economic conditions are favorable, and the financial forecast is reasonably positive and stable. Under these circumstances the City has offered what it believes is a reasonable cost of living increase. The City's proposal is consistent with statewide averages charted by SERB in its annual wage settlement report and in its reported Fact Finding/Conciliation statistics. Looking back at SERB's statewide settlement data from 2015-2018, the Monroe Firefighter Unit has consistently received general wage increases higher than statewide averages and higher than statewide averages for all Firefighter units. Similarly, over the same timeframe the Monroe Firefighter Unit's wage increases were higher than average wage increases awarded by fact finders and conciliators statewide. The Employer's proposal for three 2% wage increases keeps pace with, and exceeds, the current trend in inflation (as measured by the Department of Labor's CPI-W Midwest data) and the COLA provided by the Social Security Administration to Social Security beneficiaries. To the extent possible the Employer has attempted to maintain parity among all employee units. Other than in cases where a fact finder or conciliator has varied from the Employer's established pattern of bargaining, the City has proposed and negotiated hard to maintain the same general wage increase for all City bargaining units. Exceptions have been made by the Employer only when external comparables show that a market-based adjustment is warranted.

As for external comparables in relation to the Firefighter unit, the Employer maintains that the City's Firefighters are properly compensated and therefore no salary adjustment beyond a basic general wage increase is warranted. The Employer maintains that the following cities are the proper comparator group: Bedford, Galion, Heath, Montgomery, University Heights, Wilmington and

Fostoria. The City has used this same comparator group for the past 10-12 years; they all have approximately the same size population. Recent COLAs of the comparator group have averaged the following:<sup>5</sup>

|                              | 2017  | 2018  | 2019            | 2020            | 4 Year Average |
|------------------------------|-------|-------|-----------------|-----------------|----------------|
| <b>Comparables (average)</b> | 1.75% | 1.96% | 2.5%            | 2.41%           | 2.155%         |
| <b>Monroe IAFF</b>           | 3.0%  | 2.5%  | 2.0% (Proposed) | 2.0% (Proposed) | 2.375%         |

Even though the City's proposed increases for 2019 and 2020 are below the average of the comparator group, past increases for the Monroe Firefighters were greater than those in the comparator group resulting in an overall higher 4-year average. A 2020 wage comparisons for this comparator group of municipalities shows that with the proposed 2% general wage increase, the City of Monroe will remain above average (with the singular exception of entry level Firefighters) for both Firefighter/Paramedics and Lieutenants.<sup>6</sup>

|                                                  | Entry Level     | Top Tier        |
|--------------------------------------------------|-----------------|-----------------|
| Firefighter/Paramedic Average (excluding Monroe) | \$50,799        | \$64,534        |
| <b>Monroe 2% Proposal</b>                        | <b>\$46,254</b> | <b>\$66,970</b> |
| Fire Lieutenant Average (excluding Monroe)       | \$66,655        | \$72,071        |
| <b>Monroe 2% Proposal</b>                        | <b>\$75,676</b> | <b>\$75,676</b> |

Given that the City already pays very competitive wages for its firefighting unit, there is no basis to implement higher than average general wage increases. Thus, the Employer's offer of 2% increases is fair and reasonable.

In addition to the foregoing it is important to note that as of June 2019 the City's federal SAFER grant expired leaving the City with approximately \$600K less in funding for Firefighter personnel. This deficit in funding already requires that the General Fund be tapped for greater transfers going forward than have been necessary in the past to fund firefighting services for the City. Although the City currently has a healthy reserve in its General Fund, these reserves are needed to protect the City against unforeseen expenditures and downturns in the economy. The recent

<sup>5</sup> Table from Employer's Pre-Hearing Statement

<sup>6</sup> Data from Employer Exhibit 3

recession is a cautionary tale illustrating the need to exercise fiscal restraint in good years in order to weather the inevitable bad years.

The Employer rejects the Union's proposal for 4% increases across all three years of the contract as well as its other proposals to increase wages significantly beyond what is reasonable to maintain parity among the City's safety forces, and well beyond a reasonably competitive wage. Furthermore, the City rejects the Union's additional proposals to increase the rank differential by 1%, to reinstate FD Medic and FD Intermediate certification pay rates which were eliminated by mutual agreement from the contract in a past bargaining cycle, and to increase the working out of classification pay rate. All of which are cost increases for the Employer and wage increases for the bargaining unit which are not supported by external comparables.

### 2. Article 23: Holidays

The Employer opposes the Union's proposal to create "super holiday" language that would require the City to pay employees required to work on Thanksgiving, Christmas and New Year's Day at a rate of 2.25 times the regular rate of pay. More than being a cost issue for the City this is an issue of internal parity with other bargaining units. Neither the Police Unit nor the Teamster Unit receive super holiday call-in pay. Although Police Officers receive a premium for working on Thanksgiving, Christmas and New Year's Day the premium is 1.5 times the regular rate of pay. This is the same premium rate that Firefighters are paid when working on these holidays and when called into work on these holidays for emergency purposes. The Employer seeks to maintain the Holiday contract article as is, with a minor noncontroversial housekeeping edit to change the semiannual pay-out of holiday pay from the first "payroll" in June and December to the first "paydate" in June and December.

### 3. Article 24: Vacations

The Employer rejects the Union's proposal to increase the vacation leave benefit and seeks to maintain current contract language with a minor edit to allow for a Fire Chief "designee" to authorize leave requests and shift changes. The Union has proposed to increase the vacation accrual rate by 12 hours for unit members with 1-4 years of service and by 24 hours for unit members with 5 or more years of service. Increasing the accrual rates in this manner would increase the City's cost by \$19K. In addition to this increase in costs, overtime expenses would increase in association with staffing these additional vacation absences. The Employer projects that the proposed increase of 24

hours for unit members with 5 or more years of service would result in an additional 39 days of required coverage – 936 hours. At the average overtime rate of \$35/hour the City's overtime cost would increase by approximately \$32,760. Similar calculations can be done for the additional 12 hours of vacation proposed for unit members with 1-4 years of service. The cost of additional vacation leave coupled with associated overtime costs results in an annual staffing cost increase potentially exceeding \$60K. A comparison of the vacation leave benefit across the Employer's external comparator group of municipalities reveals that the Monroe vacation leave benefit compares favorably. Monroe Firefighter accrual rates are similar to those in the external comparator group. With respect to internal comparisons, the Union has argued that the Firefighters receive less vacation benefits than Police Officers because as a percentage of hours worked, Firefighters receive less time off than Police Officers. As a result of the Firefighter 24-hour schedule they receive 243 days off in an average year. To these 243 days off vacation, holiday and sick leave benefits are added. The result is that Firefighters have over 100 days off more per year than do Police Officers. There is no reasonable basis to increase this Unit's vacation leave benefit.

#### 4. Article 25: Sick Leave

The Employer seeks to maintain current contract language in this article. The Union proposes to increase the accrual rate by two additional hours per month. Over the course of a year this proposal provides for an additional two days of sick leave per employee. As with the Union's vacation leave proposal, more days off for bargaining unit members results in both direct costs of the leave benefit and overtime costs associated with staffing for these additional days of absence. In addition, the Union proposes to increase the retirement payout of sick leave. These proposals are unsupported by internal or external comparables. These proposals are not cost effective for the Employer and serve no purpose other than to increase time away from work for bargaining unit members and decrease efficiency. The Employer rejects these proposals in their entirety.

### ***Union Proposals and Positions***

#### 1. Article 32: Wages

The Union seeks three 4% raises across the term of the agreement. In addition the Union proposes that the working out of classification pay benefit be increased to the first step of the higher pay grade; that the rank differential be increased by 1%; and that there be certification incentive pay for FD-Intermediates at the rate of 1% in the first year of the contract and 1% in the second year,

and for FD-Medics at the rate of 2% in the first year of the contract and 1% in both the second and third years of the contract.

In support of its general wage increase proposal the Union looks to both internal and external comparators. The Employer has argued that parity among the City's bargaining units is important, most especially between the Police and Fire units. This being the case it is reasonable to consider that twice in the past six years (2 bargaining cycles) the Firefighters have received smaller across the board increases than the Police unit. These departures from pattern bargaining are shown in the below table.<sup>7</sup> The principle of parity would suggest that this disparity in wage increases should be addressed in this cycle of bargaining

| Name                 | 2009 | 2010 | 2011 | 2012 | 2013 | 2014 | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 |
|----------------------|------|------|------|------|------|------|------|------|------|------|------|------|
| <b>Firefighters</b>  | 4%   | 4%   | 0%   | 0%   | 2.8% | 0%   | 2%   | 2%   | 3%   | 3%   | 2.5% |      |
| <b>Police Patrol</b> | 4%   | 4%   | 0%   | 0%   | 2.8% | 2%   | 2%   | 2%   | 3%   | 3%   | 3%   |      |
| <b>Police Sgts.</b>  | 4%   | 4%   | 0%   | 0%   | 2.8% | 2%   | 2%   | 2%   | 3%   | 3%   | 3%   |      |

In considering external comparables the Union looks to neighboring jurisdictions with a population +/- 7,000 that of Monroe and that are in Butler County or a neighboring county. The Union's comparator group thus consists of Sharonville, Blue Ash, Montgomery Madeira/Indian Hill, Springdale, Moraine, Forest Park, Reading, Clayton, Harrison and Franklin. The 2019 wage rates for Firefighter/Paramedic in these comparable jurisdictions reveal that Monroe Firefighter/Paramedics earn a wage far below those of most other Firefighters. The average wage rates for this comparator group are shown in the following table:<sup>8</sup>

|                              | Entry Wage  | Top Tier Wage |
|------------------------------|-------------|---------------|
| <b>Comp Group Average</b>    | \$56,326.45 | \$73,571.22   |
| <b>Monroe</b>                | \$43,346.65 | \$65,656.39   |
| <b>Percent Below Average</b> | -29.94%     | -12.05%       |

<sup>7</sup> Table from the Union's Pre-Hearing Statement

<sup>8</sup> Data from the Union's Pre-Hearing Statement external comps wage comparison table



Monroe Firefighter/Paramedics make less than all but two of the 11 comparator jurisdictions in the surrounding area. The Monroe bargaining unit would need to receive a market adjustment of approximately 15% in order to achieve an average wage for the local Firefighter labor market. The internal and external comparables justify the Union's proposal for a general wage increase higher than the typical inflation-matched cost of living increase.

The Union further proposes that bargaining unit members who are certified beyond the EMT-Basic level as FD-Intermediates or FD-Medics be awarded a certification rate of pay. For FD-Intermediates the Union proposes that the regular rate of pay be increased by 1% effective 10/1/19 and another 1% increase effective 10/1/20. For FD-Medics the regular rate of pay would be increased by 2% effective 10/1/19, by 1% effective 10/1/20, and by 1% effective 10/1/21. This additional pay incentive will help address the market disparity between the City of Monroe and the surrounding comparator jurisdictions and make it easier to recruit and retain certified Firefighter/Paramedics. Incentivizing FD-Medic certification will also help to encourage higher/better skill attainment making the Monroe workforce more versatile.

The Union proposes that the working out of classification pay adjustment be increased. Currently when a Firefighter/Paramedic fills in for a Lieutenant the Firefighter receives an additional \$1.50 for each hour spent performing duties at the higher Lieutenant classification. This flat rate supplement has not been increased for 12 years. Meanwhile the pay rates for Lieutenants has increased. Currently the differential between the top tier Firefighter and the Lieutenant is \$3.20 per hour. A Firefighter filling in for a Lieutenant assumes all the Lieutenant's duties and is held accountable for performance as a Lieutenant. Therefore, the Firefighter serving as a Lieutenant should be compensated as a Lieutenant. Finally, the Union proposes a 1% increase in the rank differential increasing the differential from the current 13% to 14%.

## 2. Article 23: Holidays

The Union proposes language that would provide for holiday pay at the rate of 2.25 times the regular rate of pay for any employee who is not regularly scheduled to work but is required to work on Thanksgiving, Christmas or New Year's Day. The current holiday pay rate is 1.5 times the regular rate of pay. This higher rate is paid to bargaining unit members who are regularly scheduled to work on a holiday, and it is the same rate paid to bargaining unit member who are not scheduled to work on a holiday but are mandated to work due to the absence of an employee. The overlap in the holiday rate and the overtime rate effectively eliminates the extra compensation an employee

receives when faced with the hardship of having to work on a holiday when the day was expected to be a day off work. The Union proposal allows bargaining unit members who are required to work extra hours on a holiday to receive the benefit of both holiday pay and overtime pay when the two overlap. This issue is a very low-cost item for the Employer while being an important morale item for the bargaining unit.

### 3. Article 24: Vacations

The Union proposes to increase the rate of vacation accrual by 12 hours for bargaining unit members with 1-4 years of service and by 24 hours for bargaining unit members with 5 or more years of service. The Union argues that its proposal is supported by both internal and external comparables. Monroe Police Officers annually work 2068 hours (a little less than the standard fulltime work year of 2080 hours); whereas Firefighters annually work 2652 hours. Firefighters work 27.5% more hours in a year than Police Officers. However, Firefighters do not receive proportionately more scheduled time off. A comparison of hours worked to scheduled vacation hours for Police and Fire units is represented in this table:<sup>9</sup> To achieve parity between the Fire and Police units an increase in Firefighter vacation leave of approximately 13% is warranted.

| Years of Service | Police Vacation Hours Working 2080 hrs./year | Police Vacation Adjusted for Working 2652 hrs./year (+27.5%) | Current IAFF Vacation Hours (working 2652/year) | Percent Difference Between Current IAFF Vacation and Police Equivalent |
|------------------|----------------------------------------------|--------------------------------------------------------------|-------------------------------------------------|------------------------------------------------------------------------|
| 1                | 85                                           | 108.38                                                       | 96                                              | -12.89%                                                                |
| 5                | 127.5                                        | 162.56                                                       | 144                                             | -12.89%                                                                |
| 10               | 170                                          | 216.75                                                       | 192                                             | -12.89%                                                                |
| 15               | 190                                          | 242.25                                                       | 216                                             | -12.89%                                                                |
| 20               | 212.5                                        | 270.94                                                       | 240                                             | -12.89%                                                                |

A review of vacation leave benefits provided to Firefighters in neighboring municipalities, which form the comparator group for the Unit, also shows that Monroe's Firefighters have a lesser benefit. The following table shows the average vacation accrual benefit for the 11 comparator municipalities at 1-25 years of services compared to the Monroe vacation benefit at 1-25 years of service.<sup>10</sup>

| Year | 1 | 2 | 3 | 4 | 5 | 6 | 7 | 8 | 9 | 10 | 11 | 12 | 13 | 14 | 15 | 16 | 17 | 18 | 19 | 20 | 25 |
|------|---|---|---|---|---|---|---|---|---|----|----|----|----|----|----|----|----|----|----|----|----|
|------|---|---|---|---|---|---|---|---|---|----|----|----|----|----|----|----|----|----|----|----|----|

<sup>9</sup> Table from Union Pre-Hearing Statement

<sup>10</sup> Table excerpt from Union Pre-Hearing Statement exhibit

|                |     |     |     |     |     |     |     |     |     |     |     |     |     |     |     |     |     |     |     |     |     |
|----------------|-----|-----|-----|-----|-----|-----|-----|-----|-----|-----|-----|-----|-----|-----|-----|-----|-----|-----|-----|-----|-----|
| <b>Average</b> | 113 | 113 | 116 | 120 | 142 | 149 | 156 | 164 | 169 | 180 | 190 | 203 | 206 | 215 | 232 | 234 | 234 | 241 | 241 | 261 | 261 |
| <b>Monroe</b>  | 96  | 96  | 96  | 96  | 144 | 144 | 144 | 144 | 144 | 192 | 192 | 192 | 192 | 192 | 216 | 216 | 216 | 216 | 216 | 240 | 240 |
| <b>% Diff</b>  | -18 | -18 | -20 | -25 | 1   | -4  | -9  | -14 | -17 | 6   | 1   | -5  | -7  | -12 | -7  | -8  | -8  | -12 | -12 | -9  | -9  |

Both the internal and external comparables support the Union's proposal to increase the Unit's accrual rates.

#### 4. Article 25: Sick Leave

The Union proposes to increase the sick leave accrual by 2 hours per month totaling an additional 24 hours of sick leave accumulation over a year. In addition, the Union seeks to raise the retirement/resignation payout of accrued but unused sick leave. The Union would increase the payout from  $\frac{1}{4}$  to  $\frac{1}{3}$  of accrued but unused sick leave up to a maximum of 720 hour and increase the payout from  $\frac{1}{3}$  to  $\frac{1}{2}$  of accrued but unused sick leave in excess of 720 hours. As with the Union's proposal regarding Vacation Leave, the Sick Leave proposal is supported by both internal and external comparables. The difference between the Firefighter's hours of work in a year (i.e., 2652) is 27.5% greater than the Police Officer's hours of work in a year (i.e., 2068). To achieve parity with Police Officers in the City of Monroe the Firefighter's sick leave accrual must increase. Like with vacation accruals, a comparison of the Police and Fire Units shows a 13% disparity in sick leave in favor of the Police Officers. The Union's proposal to increase the accrual rate by 2 hours per month would help to close the gap between the two Units' work hours to sick leave accrual ratios. A review of external comparables also supports an increase in the sick leave accrual. In comparison to all 11 comparator municipalities in the area, Monroe Firefighters accrue sick leave at 21.35% below the average accrual rate. The average accrual rate for the comparator group is 166 hours/year. Whereas the Monroe accrual rate is 144 hours/year. As for the Union's proposal to increase the sick leave sell-back provision upon retirement or resignation, the provision incentivizes unit members to avoid and minimize the use of sick leave in order to save it and sell it back later at no more than  $\frac{1}{2}$  of its accumulated value.

### ***Discussion***

#### Finances and the Employer's Ability to Pay

For the most part there is no dispute between the parties that the Employer's finances are healthy, positive and stable. The Employer has not made an inability to pay argument and has offered annual cost of living increases of 2% which track reasonably well with the current trend in

inflation. There are two Fire Levy Funds identified as the 1989 Levy Fund and the 2005 Levy Fund. These are property tax funds. In addition, in 2017 the City of Monroe voters approved a 0.5% increase in income tax, of which 0.35% is earmarked for public safety services – a substantial amount of this increase will go to a new police station. Prior to the income tax increase (which was realized in 2019) approximately 65% of the Fire Department's costs were funded via General Fund transfers. The Employer projects that going forward the amount needed in General Fund transfers to fund the Fire Department will drop to approximately 37%. The following table shows dedicated revenue funding the Fire Department, Department expenditures, and General Fund Transfers necessary to fully fund the Fire Department.<sup>11</sup>

|                                            | <b>2016<br/>Actual</b> | <b>2017<br/>Actual</b> | <b>2018<br/>Actual</b> | <b>2019<br/>Estimate</b> | <b>2020<br/>Estimate</b> | <b>2021<br/>Estimate</b> | <b>2022<br/>Estimate</b> | <b>2023<br/>Estimate</b> |
|--------------------------------------------|------------------------|------------------------|------------------------|--------------------------|--------------------------|--------------------------|--------------------------|--------------------------|
| <b>Total<br/>Levy<br/>Revenue</b>          | \$1,697,684            | \$1,942,680            | \$2,166,669            | \$1,986,220              | \$1,684,360              | \$1,706,657              | \$1,729,400              | \$1,752,598              |
| <b>2018<br/>Income<br/>Tax<br/>Revenue</b> |                        |                        |                        | \$1,400,000              | \$1,500,000              | \$1,500,000              | \$1,500,000              | \$1,500,000              |
| <b>Total<br/>Expenses</b>                  | \$3,461,534            | \$4,055,008            | \$4,415,111            | \$4,685,385              | \$4,801,766              | \$4,939,539              | \$5,081,321              | \$5,227,228              |
| <b>General<br/>Fund<br/>Transfer</b>       | \$2,481,734            | \$2,685,000            | \$2,897,000            | \$1,299,165              | 1,617,406                | \$1,732,882              | \$1,851,921              | \$1,974,629              |

During this same timeframe the Employer reports that the General Fund Unencumbered Cash Balance is forecasted to grow as depicted below.<sup>12</sup> The City target fund balance is \$4M.

| <b>2016<br/>Actual</b> | <b>2017<br/>Actual</b> | <b>2018<br/>Actual</b> | <b>2019<br/>Estimate</b> | <b>2020<br/>Estimate</b> | <b>2021<br/>Estimate</b> | <b>2022<br/>Estimate</b> | <b>2023<br/>Estimate</b> |
|------------------------|------------------------|------------------------|--------------------------|--------------------------|--------------------------|--------------------------|--------------------------|
| \$4,572,270            | \$4,489,631            | \$3,140,089            | \$3,497,645              | \$4,209,446              | \$4,605,364              | \$5,185,352              | \$5,856,279              |

These revenue and expense figures from the Employer show that even with an assumed growth in expenses of 3% annually and a conservative assumed growth in revenue of 2% annually, transfers to fund the Fire Department will remain stable, declining somewhat from its high in 2018. Meanwhile the General Fund unencumbered cash balance will continue to grow and is forecast to exceed the \$4M target balance by over \$1.8M in 2023.

Despite the favorable financial condition presented in the City's figures, there are always more demands on the public treasury than there are monies to fund them. In periods of economic

<sup>11</sup> Excerpted data from Employer Exhibit 2

<sup>12</sup> Excerpted data from Employer Exhibit 11

growth Employers typically invest heavily in deferred maintenance, infrastructure upgrades and other capital improvements; and yet, when else can employees reasonably seek to advance their wages and benefits if not when the economy is strong and the Employer's financial status is stable and in a growth mode. This fundamental competition among equally worthy demands on the public treasury is why the question of the Employer's ability to pay is primarily scene by fact finders as a threshold question and not always determinative of the final recommendation. In circumstances where there is a finding that the Employer has the financial means to fund a wage and benefit settlement greater than the one it proposes (as is the case here), the fact finder must undertake a further analysis to determine whether there is an affirmative reason to recommend a more costly package of wages and benefits. This further analysis includes the comparability of the existing wage scale with those of other similar units, and parity with other employees under the Employer's jurisdiction.

35 out of the 40 bargaining unit members are paramedics. Approximately 40% of the Unit (i.e. 16 individuals) has less than 5 years of tenure with the Department. 60% of the unit (i.e., 34 individuals) has 5 years or more of tenure. 13 bargaining unit members have 20 years of service and will be eligible to retire in 2025. Incorporated in the bargaining unit of 40 are Lieutenants who's wage scale is currently 13% higher than the paramedic wage scale. In consideration of these personnel factors it was represented to the Fact Finder that a reasonable estimate of a 1% wage increase for the bargaining unit would increase overall personnel costs by approximately \$36,000 per year. This figure accounts for an average wage for all bargaining unit members and rollup costs of pension, Medicare, and other such payroll costs. Furthermore, in terms of the cost of proposals and their affordability, it was fairly represented to the Fact Finder that the cost associated with the Union's proposal to increase vacation accrual by 12 hours for unit members with less than five years of tenure and by 24 hours for unit members with greater than 5 years of tenure can be calculated at \$19,000 for the additional vacation time, plus approximately \$33,000 in associated overtime costs to cover the increased days of absence. This makes the value of the Union's vacation proposal roughly equivalent to a 1.5% wage increase.

#### External Comparability

As is so often the case in fact finding, the parties in this dispute have selected entirely different municipalities to make their respective comparability arguments. Both parties have used population as a key factor in selecting their respective comparator groups. The Employer estimates Monroe's population as 13,061 and has selected seven Ohio municipalities within a population range

of 10-15K for comparison purposes. The Employer's group consists of University Heights and Bedford from Cuyahoga County, Fostoria in the northwestern part of Ohio, Galion in the north central part of Ohio, Heath in Licking County approximately 30 miles east of Columbus, Wilmington in Clinton County which is in the southwest part of Ohio approximately 40 miles from Monroe; and Montgomery in Hamilton County approximately 30 miles from Monroe. The Union on the other hand estimated Monroe's population to be 12,442 and selected municipalities in Hamilton County, Montgomery County and Warren County, all contiguous to Butler County where Monroe is situated. The Union has applied a population factor of plus or minus 7000 when selecting municipalities to consider as comparators. The Union's comparator group consists of Sharonville, Blue Ash, Madeira, Springdale, Forest Park and Harrison from Hamilton County; Moraine and Clayton from Montgomery County (both suburbs of Dayton); and Franklin from Warren County.

Using its comparator group the Employer argues that Monroe's Firefighter and Lieutenant pay ranges are above average and in the middle of the range with three comparator municipalities paying higher salaries and four comparator municipalities paying lower wages. The Employer's salary proposal is designed to maintain the Unit at its current relative position. Using the Union's comparator group the Monroe Firefighters are considerably below average. At the Firefighter/Paramedic entry level the Unit is approximately 30% below average and at the top level the Unit is approximately 12% below average. The Union's package of wage proposals is designed to make a modest step toward narrowing this gap and moving the Unit somewhat toward average rather than below average.

From the perspective of the Fact Finder, both sets of comparators have their weaknesses. Neither set of comparators considers key demographic factors other than population. The Employer's pre-hearing statement opines that its selection of comparable jurisdictions is based on multiple factors including, "population, size, demographics and location." However, when asked to explain the parameters of the factors other than population the Employer conceded that only population was taken into consideration. The Employer stated that this same set of comparator jurisdictions has been used for the past 3-4 rounds of negotiations with the Firefighters; however, further explained that the comparator group has only been used internally among the management team – not shared with the Union. Furthermore, these parties have not been to fact finding in the last 3-4 rounds of bargaining, thus these comparator jurisdictions have not been subject to the scrutiny of a neutral third party. A quick review of the Ohio Development Services Agency's data reports reveals that there are roughly 60 cities in Ohio estimated to be between 10-15K in

population.<sup>13</sup> The Employer's select group of comparators is spread all over Ohio, and without other demographic factors to create a cohesive rationale for picking these particular seven municipalities out of a possible 60 similarly populated cities there is no good basis upon which to consider them uniquely relevant as comparators to Monroe. The Union's comparator group has in its favor the fact that they are all within the same general geographic area as Monroe. To this extent the Union's comparator group can be considered to represent somewhat of a local labor market for Firefighter/Paramedic professionals. However, the population factor of plus or minus 7000 around Monroe's estimated population of 12,442 creates a very broad population range inclusive of municipalities that are barely half the size of Monroe to municipalities that are one and half the size of Monroe. Such jurisdictions may have only geographic proximity in common with Monroe. Such a large population spread should be reserved for cases involving jurisdictions with a population of at least 50-70K. To be true comparators jurisdictions must have something in common other than population size. In selecting comparator groups parties should give some consideration to similarity of the jurisdictions' financial characteristics (e.g., tax base, revenue collections) and/or the Departments' demographic characteristics (e.g., square miles covered, calls per year, density and types of structures).

To make the best of what has been provided, the Fact Finder has looked at the combined data concerning the wage rates of all proposed comparable municipalities. The average entry level base wage of the combined comparator group is \$54,176 and the average top-level base wage is \$70,056. Using this combined group of comparators, Monroe's entry level paramedic wage is 16% below average and the top-level paramedic wage is 6% below average. Narrowing the comparator group by dropping out population outliers from the Union's selection – Moraine, Harrison and Forest Park, the wage averages for the remaining comparator group change only slightly and result in the same 16% below average disparity at entry level and increases the top level wage disparity by an additional percent to 7% below the average. Narrowing the combined comparator group a second time by dropping out municipalities scattered across the State – University Heights, Bedford, Fostoria, Galion and Heath, and the remaining combined comparator group results in an average entry level paramedic wage of \$56,857 and an average top level paramedic wage of \$74,218.

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<sup>13</sup> 2018 Population Estimates for Cities and Villages; [development.ohio.gov/file/research/p5026pdf](https://development.ohio.gov/file/research/p5026pdf)



Monroe's wages in comparison to this final combined group of comparators are 20% below average at the entry paramedic level and 12% below average at the top-level paramedic wage.<sup>14</sup>

Both parties have tailored their comparator group to tell the story they seek to tell. Of the data provided, this Fact Finder places greater value on jurisdictions that are reasonably understood to be within the local labor market for Firefighter/Paramedic professionals. Without a data-driven rationale for extending the comparator group to the farthest regions of the State there is no basis for including some of the comparator jurisdictions selected by the Employer. The best scenario that can be achieved by combining all suggested comparator jurisdictions in order to give equal representation to the comparator jurisdictions selected by both parties is that this bargaining unit's wage scale is significantly below average at the entry paramedic level (i.e., 16%) and modestly below average at the top paramedic level (i.e., 6%). Looking only at reasonably sized population comparators from both parties that are within the local labor market, the wage disparity increases to 20% at the entry level paramedic rate but doubles to 12% at the top-level paramedic wage rate. The provided wage data interpreted in this manner leads to a conclusion that it would not be unreasonable to provide a wage increase for the Unit that exceeds a basic cost of living adjustment.

The Union has also argued that its external comparator group supports its proposal to increase leave benefits for the Unit. As noted above there are three jurisdictions within the Union's comparison group that may be too disparate in population to warrant inclusion in the group. Excluding those jurisdictions from the comparison slightly alters the vacation disparity at a couple of tenure intervals. Given the complexity of accrual, use, carry-over and cash-out factors of vacation leave (and therein complexity in negotiating the benefit), any cross-jurisdictional comparisons that result in an accrual disparity of less than 24 hours (one full work shift for Firefighters) seems negligible. As for the sick leave comparison, as noted at the hearing, the City of Franklin is a clear statistical outlier in annual sick leave accrual. When that outlier is eliminated from the comparator group the disparity is eliminated between Monroe's annual sick leave accrual and the average.

#### Internal Parity

In bargaining, Employers are often subject to significant pressure to maintain parity among employee groups, most especially between the safety forces of Police and Fire. These are highly competitive bargaining units that closely scrutinize each other's labor agreements documenting any

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<sup>14</sup> The Fact Finder also considered including University Heights and Bedford from the Employer's comparator group, allowing for their location as "exurbs" of Cleveland, just as Monroe might be considered an "exurb" of Cincinnati. Including these two comparator jurisdictions did not materially change the overall outcome and only served to slightly increase the negative disparity of Monroe's wage scale.



perceived advantage. However, Employers also seek to rely on parity to keep advances in wages and benefits in check. For this Fact Finder, internal parity is best when focused on general wage increases. It makes little, to no, sense to compare the wage scales of diverse bargaining units for each such scale is tailored to the job classification it covers. Each job classification is associated with its own particular mix of duties, responsibilities, obligations and advantages. Just as comparing wage scales across bargaining units is an uninformative exercise, so too is the comparison of leave benefits across diverse units. In this case, the Union has sought to make a case for increased time off for Firefighters based on a comparison of the difference between the number of hours worked in a typical year by Firefighters and Police Officers. Police Officers work 2068 hours in a year, whereas Firefighters work 2652 hours in a year - 27.5% more. Based on this calculation the Union argues that accrued time off for Firefighters should be increased proportionately in order to maintain parity with Police Officers. The Employer counters that Firefighters receive 2 days off after every 24-hour shift they work. Thus, Firefighters are off work 243 days in an average year. Vacation, sick leave and holidays are provided in addition to regularly scheduled days off resulting in Firefighters having over 100 days off more per year than Police Officers. There is simply no reasonable way to make an hour for hour comparison across safety force units. Individuals enter their chosen career with an understanding of the particular mix of obligations and advantages that come with the profession. Enjoying all the advantages of one's own profession while at the same time seeking to incorporate the advantages of a distinctly different profession is an overreach and in this Fact Finder's opinion a misuse of the concept of parity.

What is of interest to the Fact Finder is that the general wage increases for the Monroe Police and Fire Units have varied somewhat in the last two rounds of bargaining as a result of the Police Unit going to fact finding and conciliation. In 2014 Firefighters did not receive a general wage increase, whereas the Police Unit received a 2% general wage increase. In 2019 the Firefighters received a general wage increase of 2.5% and the Police Unit received an increase of 3%. Overall, the Firefighters have fallen behind an important comparator by 2.5% over the past 6 years. It would be reasonable to consider an overall settlement for the Firefighter Unit that acknowledges this disparity and moves to ameliorate it somewhat.

### ***Recommendation***

The following recommendation is based upon the bargaining history of the parties and the Employer's ability to finance and administer the proposed settlement package.

1. Wages:

The Employer has stated that “its primary goal in this fact finding is to provide a reasonable wage increase and keep the Union’s above-average placement within the relevant comparable jurisdictions.”<sup>15</sup> In this instance the Fact Finder cannot validate or support the full comparator group the Employer has used to advance its position. The relevant data provided to the Fact Finder reveals that the Monroe Firefighter/Paramedic wage scale is below average. Perhaps not as far below average as the Union’s data suggests; however, below average, nonetheless. With both comparator groups having their respective outliers, the Fact Finder is cautious not to overstate how far below average the Monroe Unit truly is. The second goal of the Employer is “to maintain operational efficiency and avoid contractual changes that result in greater leave time for the Union.”<sup>16</sup> Meanwhile, the Union’s primary goal, clearly stated to the Fact Finder on the day of the hearing, is to improve upon the Units below average wage scale and restore internal parity. In consideration of the Parties’ stated priorities the Fact Finder is recommending that the economic improvements for this settlement be concentrated in wages.

The Employer’s across the board 2% proposal is somewhat low in comparison to SERB data, and wage settlement data from the relevant external comparator group(s); however, it is not far out of the ballpark for a general cost of living adjustment. Therefore, the COLA recommend by the Fact Finder is 2.5% in each of the three years of the agreement. 2.5% is this Fact Finder’s recommendation for inter-bargaining unit parity purposes within the City of Monroe. In addition, the Unit’s below average wage scale and past below-parity general wage increases warrants an additional market/equity adjustment. The Fact Finder recommends an additional 3.5% over the term of the contract. More specifically the Fact Finder recommends an additional 1.5% in the first year of the contract, 1% in the second year of the contract and 1% in the third year of the contract.

The Union’s proposal to reintroduce certification pay incentives for Intermediate and FD-Medic levels is not supported at this time. The Fact Finder’s recommended market/equity adjustment will address this proposal in part. Certification levels add unnecessary complexity to the wage scale and payroll process. Furthermore, through mutual agreement the certification levels were eliminated in a recent past round of negotiations. Thus, reintroduction of them is best left to the negotiation process. As for the Union’s proposal to increase the rank differential from 13% to 14%, there is insufficient evidence in the provided data to support this proposal. As for the Union’s

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<sup>15</sup> Employer Pre-Hearing Statement, pg.2

<sup>16</sup> Ibid

proposal to increase the working out of classification bonus from \$1.50/hour to the starting rate of the higher classification, the proposal as drafted is rejected by the Fact Finder. The current differential between the top FD-Medic rate and the Lieutenant rate is \$3.22/hour. Bargaining unit members who serve temporarily as acting Lieutenants take on all day-to-day operational duties of the higher classification; however, they are not required to pick up special programmatic duties assigned to each fulltime Lieutenant. The hearing testimony supports raising the bonus above the current \$1.50/hour, to a more equitable level of \$2.50/hour, but not to the full starting rate of the Lieutenant.

The Employer had offered a total increase of 6% over the three years of the contract, whereas the Union had sought a 12%, 14%, 16% and 17% increase for Fire Basic, FD Intermediate, FD Medic and Lieutenants respectively, and the equivalent of a 1.5%-1.75% payroll increase in additional leave benefits. The Fact Finder's wage recommendation places the value of the contract settlement at 11% over the 3-year contract (not including the recommended adjustment to the WOC bonus). The tradeoff is that this fact finding recommendation does not include any further cost increases during the term of the agreement.

#### 2. Holidays:

The Fact Finder recommends current contract language for this article with the Employer's proposed housekeeping edit to reflect payment on the first payday in June and December, rather than the first payroll. The Union's proposal for call-in pay on super holidays is not supported at this time based on the Fact Finder's recommendation to concentrate economic improvements in wages.

#### 3. Vacation:

The Fact Finder recommends current contract language for this article with the Employer's proposed housekeeping edit providing for a Fire Chief designee to authorize vacation leave requests and shift changes. The Union's proposal to increase vacation accrual represents a cost to the Employer approximately equivalent to a 1.5% wage increase. Such an increase is not supported at this time based on the Fact Finder's recommendation to concentrate economic improvements in wages.

#### 4. Sick Leave:

The Fact Finder recommends current contract language for this article. The Union's proposal to increase sick leave accrual and increase retirement payout rates is not supported at this time based on the Fact Finder's recommendation to concentrate economic improvements in wages.

#### 5. Insurance:

The Employer's proposal is withdrawn. The article will continue with current contract language.

6. Duration:

Both Parties have recommended a three-year contract commencing 10/1/19 and ending 9/30/22. The recommendation of the Parties is accepted by the Fact Finder.

***Contract Language***

**ARTICLE 32  
WAGES**

Rates of pay for Employees shall be in accordance with the step schedule attached as Appendix A. These rates of pay are subject to the conditions set forth below:

1. Evaluations. Failure to attain a satisfactory performance evaluation will result in no incremental step increase for the following one-year period, or until such time as recommended by the Fire Chief.
2. Working Out of Classification. An Employee who is required to accept responsibilities and carry out the duties of a position or rank above that which he normally holds, shall be paid a bonus of ~~\$1.50~~ **\$2.50** per hour up to a maximum of twenty-four (24) hours per day.
3. Maintaining Certification. Any Employee who has the EMT-B, EMT-P, or EMT-I must maintain these certifications.
4. The Employer reserves the right to assign a new hire with comparable experience to an appropriate step on Appendix A above Step 1.
5. Cost of Living Adjustment. All bargaining unit members shall receive a cost of living adjustment of two- and one-half percent (2.5%) effective October 1, 2019; two- and one-half percent (2.5%) on October 1, 2020; and two- and one-half percent (2.5%) on October 1, 2021.
6. Market/Equity Adjustment. All Appendix A wage rates shall increase by one- and one-half percent (1.5%) effective October 1, 2019; all wage rates shall increase by one percent (1%) effective October 1, 2020; and all wage rates shall increase by one percent (1%) effective October 1, 2021.

**ARTICLE 23  
HOLIDAYS**

Current contract language with the Employer's "paydate" edit in Section 2 - Holiday Pay.

**ARTICLE 24  
VACATION**

Current contract language with the Employer's "designee" edit in Section 2 - Scheduling Vacations, and in Section 4 – Minimum Vacation Period.

**ARTICLE 24  
SICK LEAVE**

Current contract language.

**ARTICLE 28  
INSURANCE**

Current contract language.

**ARTICLE 34  
DURATION OF AGREEMENT**

This Agreement shall be effective as of midnight on the **1<sup>st</sup> day of October 2019** and shall remain in full force and effect until midnight on the **30<sup>th</sup> day of September 2022**.

Continue with current contract language.

***Conclusion***

In this report the Fact Finder has attempted to make reasonable recommendations that both parties will find acceptable. If errors are discovered or if the parties believe they can improve upon the recommendations, the parties by mutual agreement may adopt alternative language.

After giving due consideration to the positions and arguments of the parties and to the criteria enumerated in ORC 4117.14(G)(7)(a) to (f) the Fact Finder recommends the provisions as enumerated herein. In addition, all tentative agreements (TAs) previously reached by the parties along with all sections of the current Agreement not negotiated and/or changed, are incorporated by reference into this fact finding report and should be included in the resulting collective bargaining agreement.

Respectfully submitted and issued at Columbus, Ohio this 21<sup>st</sup> day of February 2020.



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Felicia Bernardini,  
Fact Finder

## CERTIFICATE OF SERVICE

The undersigned certifies that a true copy of this fact finding report was sent by e-mail on February 21, 2020 to:

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Felicia Bernardini